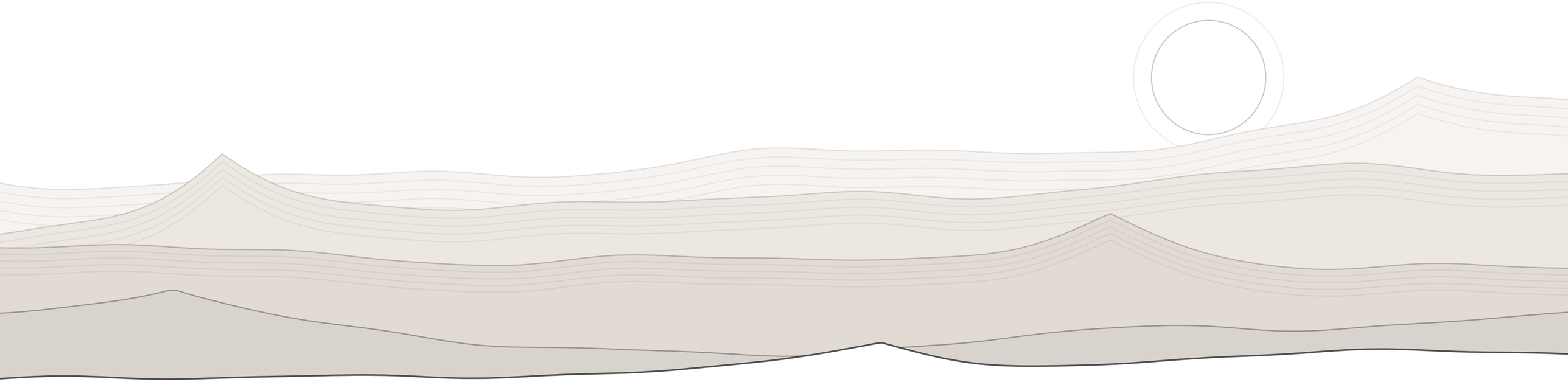
Matterhorn Capital Management

AMC 2026 · ROUND 2 · GROUP 3

Tactical Deviation — Round 2

SCAN TO VISIT



12.11.26

00 — AGENDA

What we will cover

01 Performance of Round 1 p. 04

02 Valuation dossiers p. 07

03 Treynor-Black p. 16

04 Portfolio description p. 19

SECTION

01

Performance of Round 1

From the close of 16 October to the close of 6 November: 15 trading days.

Round 1: the results

RETURN

−1.79%

USD 100.0M → 98.2M

REALISED VOLATILITY

7.99%

15 daily returns · target 8%

SHARPE RATIO

−4.26

15 daily returns · 1-month T-bill

MAXIMUM DRAWDOWN

−2.00%

28.10.26 → 05.11.26

EX-ANTE VOLATILITY

8.43%

At the start · Round 1 report: 8.13%

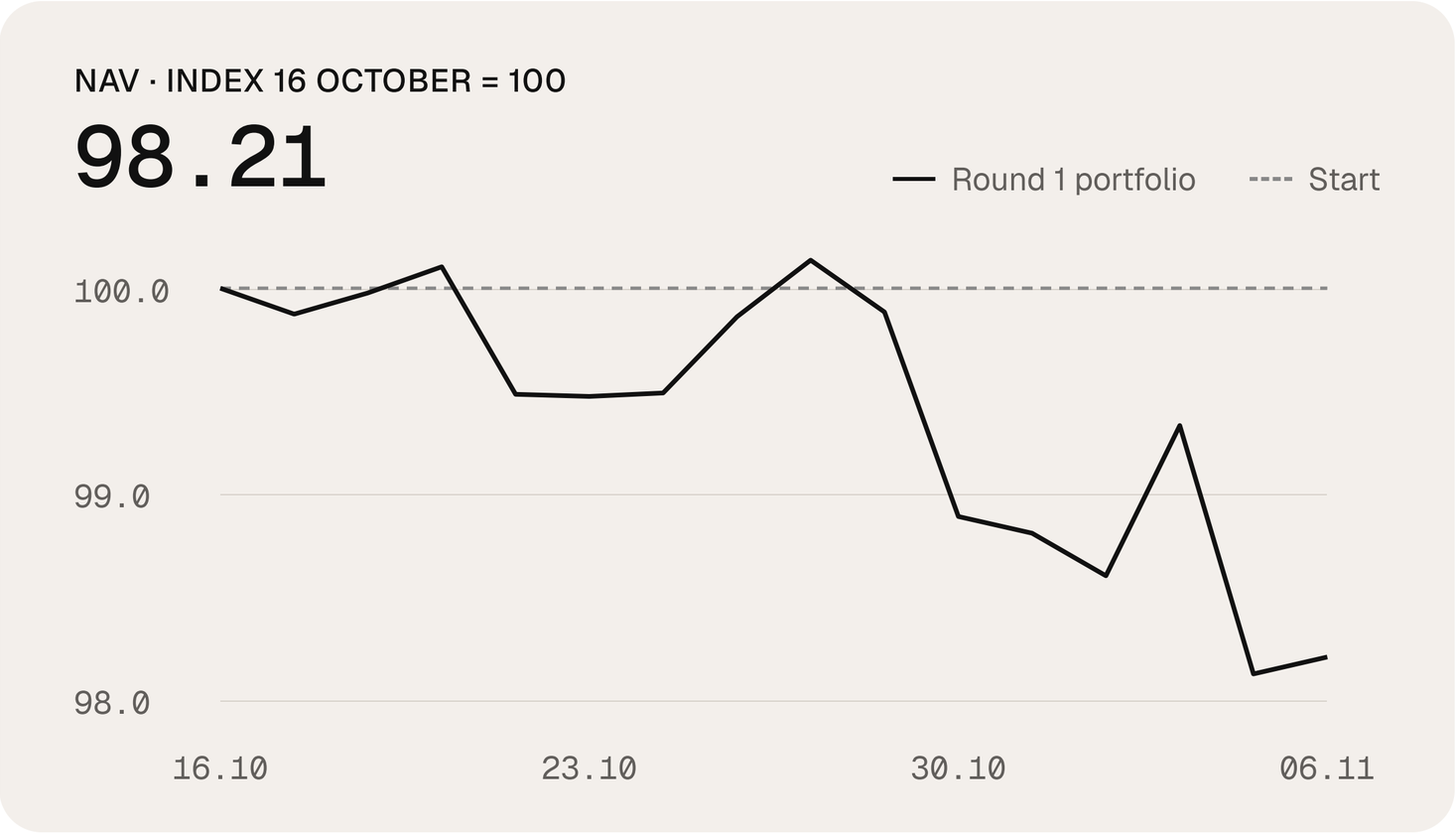
1-MONTH 5% VAR

4.00%

USD 3,932,714 · at the start 3.86%

Source: Round 2 report, section 01 and Table 1. 16.10.26–06.11.26; realised figures from 15 daily returns, indicative only.

NAV of the fund since 16 October



TAKEAWAYS

–1.79% in 15 trading days

Driven by equities and commodities.

Drawdown of 2.00%

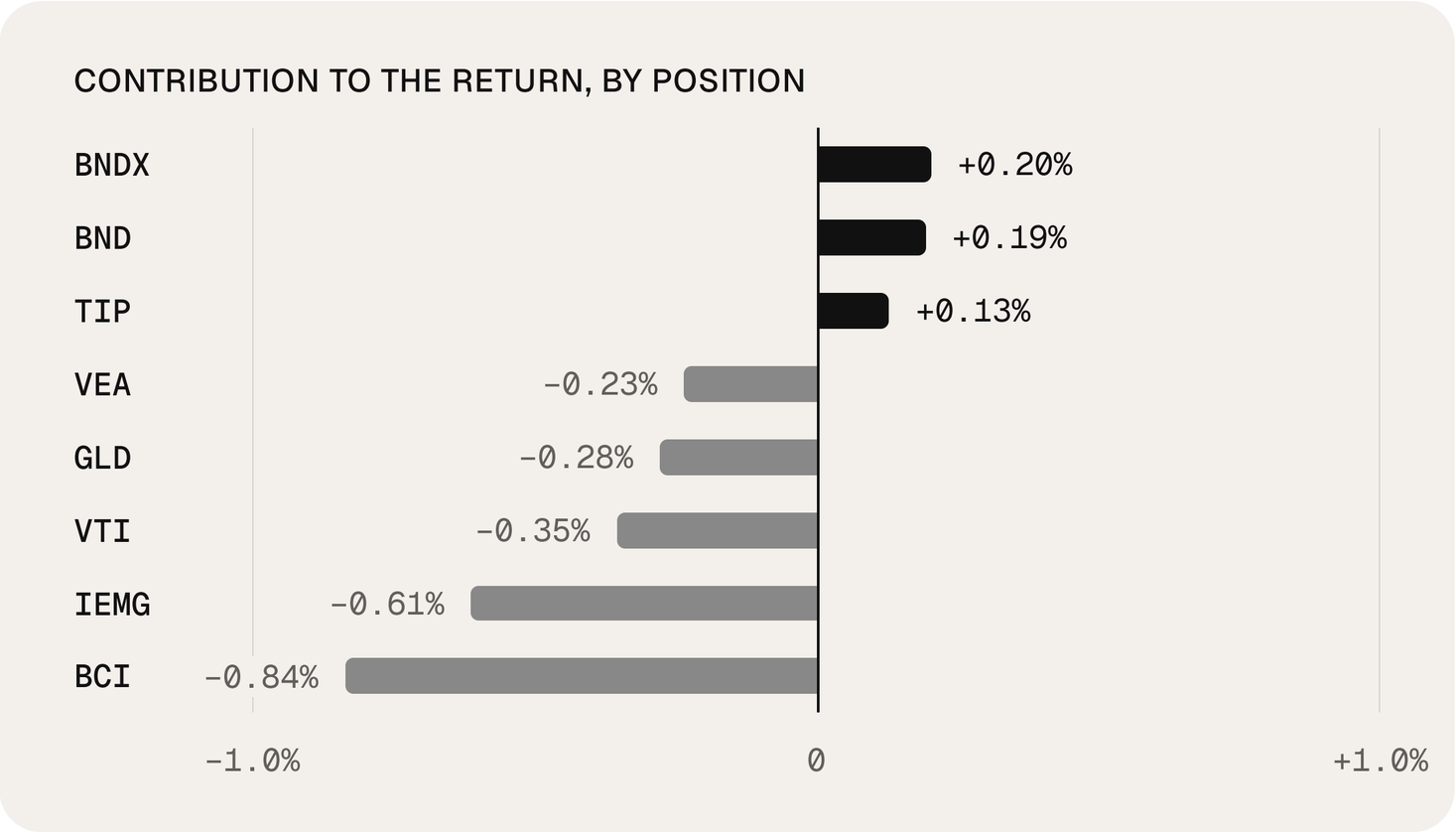
From 28 October to 5 November.

Volatility on target

Realised 8.0% on 15 daily returns, below the ex-ante 8.43%.

Source: Round 2 report, Figure 1 and section 1.1. Closes; dividends reinvested, as in Bloomberg PRTU.

Which positions are behind the result



BY BASKET

Equity −1.20%

31.38% → 30.73% of the NAV. IEMG −6.0%, −0.61 point.

Real assets −1.11%

23.54% → 22.84% of the NAV. BCI −6.7%, −0.84 point.

Bonds +0.53%

45.07% → 46.43% of the NAV: offset almost a quarter of the losses.

Source: Round 2 report, Figure 2 and section 1.2. Contribution = change in the value of the position / NAV at the start.

Four stocks below their DDM value

STOCK	NVDA NVIDIA	PEP PepsiCo	ABBV AbbVie	DRI Darden
Fair value (DDM), USD	233.53	160.10	353.68	263.32
Price, close 06.11.26	186.64	141.34	291.31	226.35
Margin of safety	+25.1%	+13.3%	+21.4%	+16.3%
Alpha, annual	+28.2%	+14.2%	+22.9%	+17.7%
IR	0.63	0.93	1.02	0.95
Comps value, USD	254.34	167.55	274.70	279.60
Catalysts	17 Nov	Late 2026 coming months	By 30 Nov about 3 Dec	18 Dec
Value-trap check	Pass	Watch	Watch	Watch
Entered, % of the portfolio	1.83%	7.78%	5.81%	6.53%

Source: Round 2 report, valuation dossiers (sections 1–5) and Table 3. Prices: close of 6 November 2026.

NVIDIA trades below its peers

NasdaqGS · Technology · Semiconductors · USD · market cap 4,506.8bn · dividend yield 0.3%, D_0 USD 0.52

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL
233.53	186.64	+25.1%	+28.2%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 0.63

FAIR VALUE VS PRICE

23% below the 52-week high

Q2 revenue doubled to USD 96.2bn, and the company guides USD 108bn for Q3, without China. 11.7x forward earnings, against 20.6x for peers.

CATALYST

17 Nov · company

Q3 FY2027 results and Q4 guidance

A quarter at or above the USD 108bn guide, with Rubin in full production, would move the price towards fair value.

DECISION

Long candidate

The margin of +25% meets our 25% rule; the comparables (USD 254.34) and analysts (USD 323.79) see more. Its high residual risk keeps the Treynor-Black weight small.

Source: Round 2 report, NVDA dossier, section 1. Market data: Yahoo Finance and FRED, downloaded 08.11.26.

NVIDIA: above the price in 25 of 25

DDM INPUTS

INPUT	VALUE	vs P_0
P_0, price	USD 186.64	
D_0 used	USD 2.16	
β	1.70	
r_f, 10-year yield	4.84%	
ERP	4.46%	
$k = r_f + \beta$ ERP	12.42%	
g_1, first stage	50.0%	
T, years	7	
g_2, terminal	3.0%	
Gordon value	USD 23.56	−87%
Two-stage value	**USD 233.53**	+25%

Two-stage: 76% terminal value.

SENSITIVITY: g_2 and k

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
11.42%	245.76	257.20	270.01	284.43	300.79
11.92%	229.53	239.55	250.69	263.16	277.20
12.42%	214.95	223.77	**233.53**	244.37	256.51
12.92%	201.80	209.60	218.19	227.68	238.25
13.42%	189.88	196.81	204.41	212.77	222.02
Upside	+15%	+20%	+25%	+31%	+37%

Two-stage DDM value, USD. Shaded: at or above the price of 186.64. Dark: base case.

COMPARABLES

USD 254.34

+36% vs price

VALUE-TRAP CHECK

Pass

No red flags, earnings rising

ALPHA USED

+28.2%

Gap closes in 1 year · IR 0.63, against 0.64 for Buffett

Source: Round 2 report, NVDA dossier, sections 2–5. Upside at the base k; comps on peer-median multiples.

PepsiCo is priced for 2.5% growth

NasdaqGS · Consumer Defensive · Beverages - Non-Alcoholic · USD · market cap 192.6bn · dividend yield 4.1%, D_0 USD 5.81

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL
160.10	141.34	+13.3%	+14.2%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 0.93

FAIR VALUE VS PRICE

Below Q3 organic growth

At a cost of equity of 7.20%, the price implies only 2.5% growth forever, below the 3.1% organic revenue growth of Q3. The market has priced the EPS cut, not the Elliott cost plan.

CATALYSTS

Late 2026 · company

North America supply-chain update

In the Elliott agreement; no date set yet.

Coming months · company

New structural cost actions

Announced with Q3; being identified now.

DECISION

Long candidate

We buy, although the margin of +13% is below our 25% rule: the comparables (USD 167.55) are above the price too. A defensive stock with dated news inside the challenge.

Source: Round 2 report, PEP dossier, section 1. Market data: Yahoo Finance and FRED, downloaded 08.11.26.

PepsiCo: a thin margin

DDM INPUTS

INPUT	VALUE	vs P_0
P_0, price	USD 141.34	
D_0 used	USD 6.53	
β	0.53	
r_f, 10-year yield	4.84%	
ERP	4.46%	
$k = r_f + \beta$ ERP	7.20%	
g_1, first stage	not used	
T, years	not used	
g_2, terminal	3.0%	
Gordon value	**USD 160.10**	+13%
Two-stage value	USD 161.90	+15%

Gordon: one growth rate.

SENSITIVITY: g_2 and k

$k \setminus g_2$	2.0%	2.5%	3.0%	3.5%	4.0%
6.20%	158.55	180.83	210.07	250.13	308.36
6.70%	141.69	159.32	181.72	211.09	251.34
7.20%	128.08	142.39	**160.10**	182.60	212.11
7.70%	116.85	128.71	143.08	160.88	183.48
8.20%	107.43	117.43	129.34	143.78	161.66
Upside	−9%	+1%	+13%	+29%	+50%

Gordon DDM value, USD. Shaded: at or above the price of 141.34. Dark: base case.

COMPARABLES

USD 167.55

+19% vs price

VALUE-TRAP CHECK

Watch

Red flags: revenue growth, debt / equity

ALPHA USED

+14.2%

Gap closes in 1 year · IR 0.93, against 0.64 for Buffett

Source: Round 2 report, PEP dossier, sections 2–5. Upside at the base k; comps on peer-median multiples.

AbbVie: growth is back after Humira

NYSE · Healthcare · Drug Manufacturers - General · USD · market cap 514.9bn · dividend yield 2.4%, D_0 USD 6.92

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL
353.68	291.31	+21.4%	+22.9%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 1.02

FAIR VALUE VS PRICE

Priced for 4.5% growth

The price implies 4.5% dividend growth forever, although Skyrizi and Rinvoq grew 23–24% in Q3. Consensus has adjusted EPS rising from 13.98 to 16.19.

CATALYSTS

By 30 Nov · CMS

Medicare negotiated price for Botox

A known price, effective in 2028, removes an overhang.

About 3 Dec · ours

FDA decision on Rinvoq in vitiligo

Filed on 3 Feb 2026; no date is published.

DECISION

Long candidate

We buy, although the margin of +21% is below our 25% rule and the comparables give USD 274.70. The dividend rises 5.2% in 2027, and the low β limits the risk the stock adds.

Source: Round 2 report, ABBV dossier, section 1. Market data: Yahoo Finance and FRED, downloaded 08.11.26.

AbbVie: the value rests on k and g_2

DDM INPUTS

INPUT	VALUE	vs P_0
P_0, price	USD 291.31	
D_0 used	USD 7.47	
β	0.52	
r_f, 10-year yield	4.84%	
ERP	4.46%	
$k = r_f + \beta$ ERP	7.16%	
g_1, first stage	22.1%	
T, years	4	
g_2, terminal	3.0%	
Gordon value	USD 185.06	−36%
Two-stage value	**USD 353.68**	**+21%**

Two-stage: 88% terminal value.

SENSITIVITY: g_2 and k

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
6.16%	363.52	409.11	469.13	551.73	672.58
6.66%	323.25	358.55	403.51	462.69	544.13
7.16%	290.80	318.87	353.68	398.01	456.37
7.66%	264.10	286.89	314.57	348.90	392.61
8.16%	241.76	260.58	283.05	310.35	344.21
Upside	−0%	+9%	+21%	+37%	+57%

Two-stage DDM value, USD. Shaded: at or above the price of 291.31. Dark: base case.

COMPARABLES

USD 274.70

−6% vs price

VALUE-TRAP CHECK

Watch

Red flag: ROA; earnings rising

ALPHA USED

+22.9%

Gap closes in 1 year · IR 1.02, against 0.64 for Buffett

Source: Round 2 report, ABBV dossier, sections 2–5. Upside at the base k; comps on peer-median multiples.

Darden: a slow quarter, not a trend

NYSE · Consumer Cyclical · Restaurants · USD · market cap 25.6bn · dividend yield 2.8%, D_0 USD 6.24

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL
263.32	226.35	+16.3%	+17.7%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 0.95

FAIR VALUE VS PRICE

Priced for 2.8% growth

Darden reaffirmed FY2027 EPS of USD 11.10–11.35, 4–7% above FY2026. Management blames the World Cup for a slow Olive Garden quarter, and traffic improved into September.

CATALYST

18 Dec · company

Q2 FY2027 results and outlook

Olive Garden traffic back after the World Cup and a kept EPS guide would show the slowdown was one-off.

DECISION

Long candidate

We buy, although the margin of +16% is below our 25% rule: the comparables (USD 279.60) see more, and the Q2 results fall inside the challenge.

Source: Round 2 report, DRI dossier, section 1. Market data: Yahoo Finance and FRED, downloaded 08.11.26.

Darden: a leveraged payout, not a trap

DDM INPUTS

INPUT	VALUE	vs P_0
P_0, price	USD 226.35	
D_0 used	USD 12.02	
β	0.76	
r_f, 10-year yield	4.84%	
ERP	4.46%	
$k = r_f + \beta$ ERP	8.21%	
g_1, first stage	8.6%	
T, years	2	
g_2, terminal	3.0%	
Gordon value	USD 237.67	+5%
Two-stage value	**USD 263.32**	**+16%**

Two-stage: 91% terminal value.

SENSITIVITY: g_2 and k

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
7.21%	265.78	292.71	326.06	368.39	423.92
7.71%	242.43	264.54	291.36	324.54	366.68
8.21%	222.84	241.31	**263.32**	290.01	323.04
8.71%	206.18	221.82	240.20	262.11	288.68
9.21%	191.82	205.23	220.80	239.10	260.91
Upside	−2%	+7%	+16%	+28%	+43%

Two-stage DDM value, USD. Shaded: at or above the price of 226.35. Dark: base case.

COMPARABLES

USD 279.60

+24% vs price

VALUE-TRAP CHECK

Watch

Three red flags; earnings rising

ALPHA USED

+17.7%

Gap closes in 1 year · IR 0.95, against 0.64 for Buffett

Source: Round 2 report, DRI dossier, sections 2–5. Upside at the base k; comps on peer-median multiples.

Sized by the tracking-error budget

IN THE STOCKS

22.0%

w_A^* 393.6%, capped at TE 2.5%

EX-ANTE TE VS SAA

2.50%

Budget 2–5%

EX-ANTE VOLATILITY

8.69%

SAA 8.40%

1-MONTH 5% VAR

4.13%

SAA 3.99%

SIZE OF A

$w_A = 21.95\%$

TE = w_A × 11.39%, the TE of A against the SAA: the 2% floor and our 2.5% target allow w_A from 17.56% to 21.95%.

SHARPE RATIO

0.30 → 0.76

SAA → at w_A · 1.81 at w_A^*

Source: Round 2 report, sections 03–04 and Table 3. Ex-ante TE, volatility and VaR on the last 60 complete months (2021-11 – 2026-10).

The stocks inside the active portfolio A

STOCK	α, ANNUAL	σ²(ε)	α / σ²(ε)	IR	RAW, % OF A	ENTERED, % OF A	ENTERED, % OF THE PORTFOLIO
NVDA NVIDIA	+28.2%	0.1987	1.42	0.63	8.33%	8.33%	1.83%
PEP PepsiCo	+14.2%	0.0235	6.05	0.93	35.44%	35.44%	7.78%
ABBV AbbVie	+22.9%	0.0508	4.52	1.02	26.47%	26.47%	5.81%
DRI Darden	+17.7%	0.0348	5.08	0.95	29.76%	29.76%	6.53%
Active portfolio A, total	—	—	—	—	**100.00%**	**100.00%**	**21.95%**
Active portfolio A	**+18.7%**	**0.0110**	—	**1.79**	—	—	—

Source: Round 2 report, Table 3. Weights inside A ∝ α / σ²(ε) (Class 3 Part II); weight in the portfolio = weight in A × w_A.

The TE budget, not $w_A^* = 394\%$, sets the size.

01

IR of 1.79 is not credible

IR = IC × √N: with N = 4 it needs an IC of 0.9, where 0.05–0.10 is good skill.

02

Optimistic alphas

Every alpha assumes the gap closes in a year; PEP, ABBV and DRI exceed Buffett's 0.64.

03

One stock clears the margin rule

Only NVDA clears our 25% margin of safety.

Source: Round 2 report, section 3.1 · Checkpoint 1 · The alphas.

As entered in Bloomberg PRTU

ETFs: each at $(1 - w_A) = 78.05\%$ of its SAA weight

TICKER	SHARES	TRADE	PRICE	WEIGHT
VTI	23,084	−6,065	361.93	8.51%
VEA	115,597	−31,772	67.90	7.99%
IEMG	108,607	−24,713	72.20	7.98%
BND	142,724	−46,176	71.59	10.40%
BNDX	265,436	−85,181	47.59	12.86%
TIP	110,068	−34,753	106.27	11.91%
GLD	22,942	−6,235	372.52	8.70%
BCI	385,745	−83,513	24.64	9.68%

Stocks: each at w_A × its weight in A

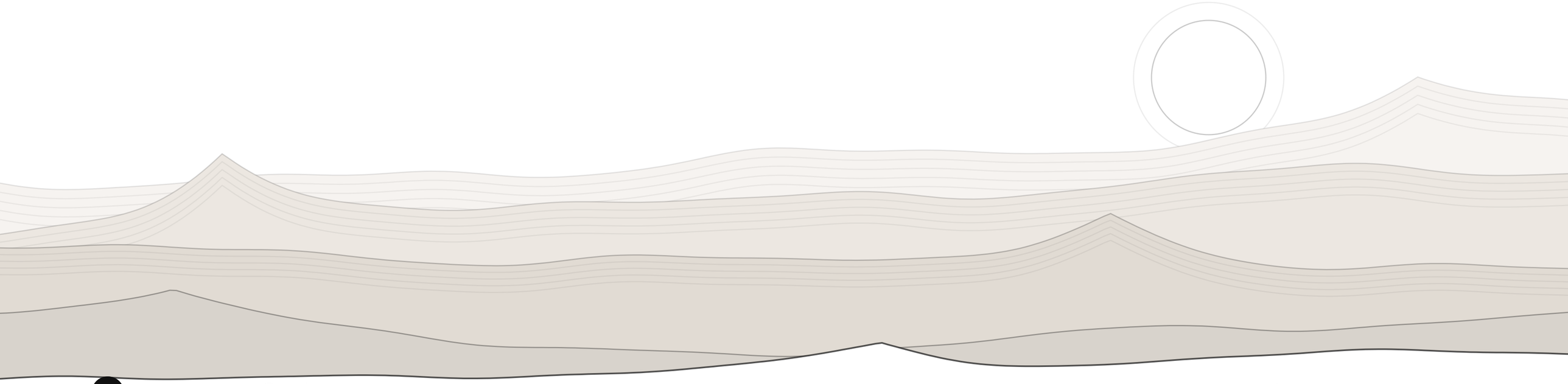
TICKER	SHARES	TRADE	PRICE	WEIGHT
NVDA	9,618	+9,618	186.64	1.83%
PEP	54,063	+54,063	141.34	7.78%
ABBV	19,594	+19,594	291.31	5.81%
DRI	28,349	+28,349	226.35	6.53%

TOTAL · 100.00% **USD 98,212,801**

LEFTOVER CASH · 0.01% **USD 8,707.90**

Source: Round 2 report, Table 4. Close of 6 November 2026 for every position; entered in PRTU on 8 Nov 2026. Whole shares, rounded down.

Thank you.



Comparable companies: a double check

STOCK	FWD P/E	P/FCF	EV/EBITDA	COMPS VALUE
NVDA NVIDIA	11.7x / 20.6x → 328.34	46.6x / 52.1x → 208.55	22.2x / 27.0x → 226.14	**USD 254.34** +36% vs price
PEP PepsiCo	16.4x / 17.0x → 147.17	25.1x / 29.7x → 167.02	12.2x / 15.5x → 188.46	**USD 167.55** +19% vs price
ABBV AbbVie	18.0x / 17.5x → 282.55	28.9x / 29.3x → 294.97	18.4x / 15.9x → 246.58	**USD 274.70** -6% vs price
DRI Darden	18.3x / 24.2x → 299.75	23.5x / 28.6x → 275.21	15.9x / 17.8x → 263.84	**USD 279.60** +24% vs price

Stock multiple / peer median of six peers; → price implied at the peer median, USD. P/FCF on last FY's FCF.

Comps value: average of the median implied prices. Source: Round 2 report, section 3 of each dossier.